

A SECTOR MAP

Online Gaming

India's Great Reset

Where value moved after India banned real-money gaming — and who is positioned to capture it next.

The real-money gaming ban erased India's biggest gaming profit pool overnight — and value is now shifting to esports and subscription-led play.

In August 2025, Parliament's Promotion and Regulation of Online Gaming Act banned every real-money game nationwide — fantasy sports, rummy, poker — regardless of skill. That single segment had been generating roughly three-quarters of India's online gaming revenue. This map argues the ban didn't kill the sector: it forced a reset, and the players building durable, non-wagering engagement — esports organisations, subscription and cloud platforms, ad- and IAP-funded casual studios — are the ones now capturing the growth.

77%

of India's online gaming revenue came from real-money games pre-ban

+17%

YoY growth in India's non-RMG gaming market in 2025, to \$1.5B

18-23%

projected CAGR for India's esports market through 2033-34

Our one-page scope sheet

INDUSTRY

Online gaming in India — real-money gaming, casual/mobile, esports, subscription & cloud platforms

THE QUESTION WE ANSWER

Where is value moving in Indian online gaming after the 2025 real-money gaming ban, and who is positioned to capture it?

OUR THESIS

The ban erased the sector's largest profit pool overnight; value is migrating to esports, subscription/cloud gaming, and ad- and IAP-funded casual play

READER

A curious business reader who lacks the understanding of how Indian gaming now makes money and where the next winners will come from

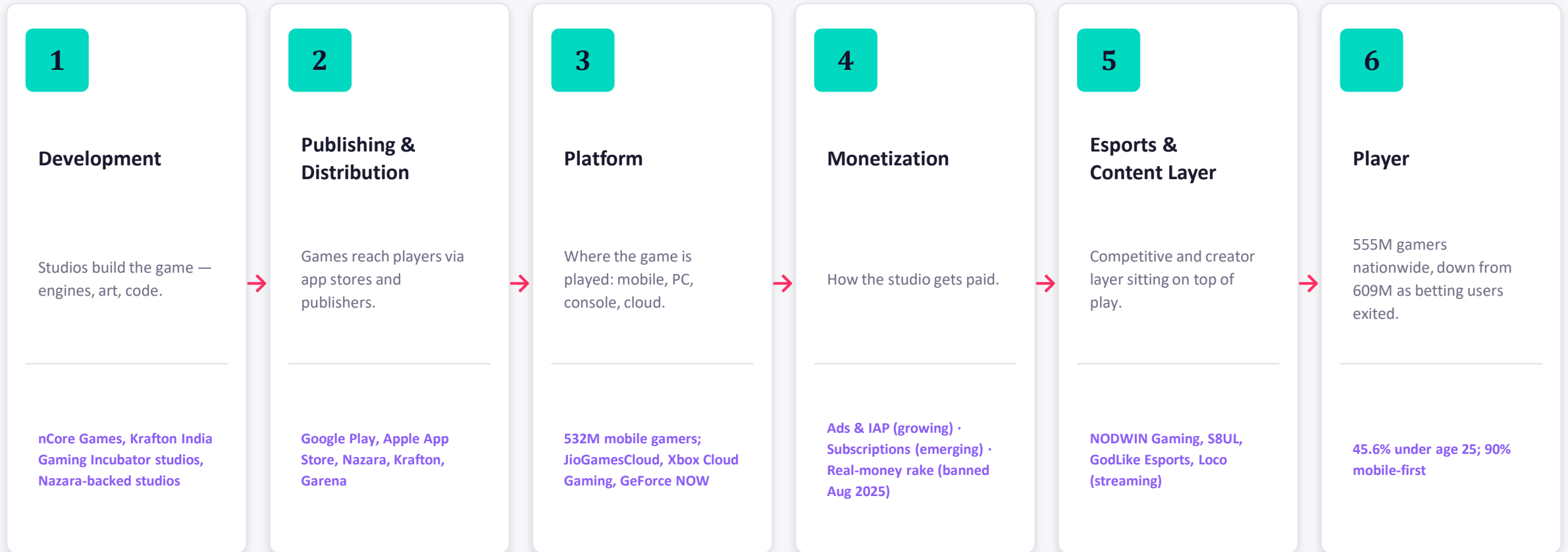
GEOGRAPHY & HORIZON

India-first, benchmarked against the US and China, over now plus roughly three years

LAYERS WE GO DEEP ON

Economics, Policy & Regulation, and Funding & Environment — because our thesis rests on what the ban broke and what is rebuilding

How a game reaches an Indian player — and where the ban cut the chain



Source: Redseer (2025); Demandsage India Online Gaming Statistics (2026); Onmanorama/Lumikai State of India Interactive Media(2026).

Four camps reshuffled by one law

Legacy RMG — disrupted

- Dream11 — \$8B fantasy sports platform; shut down real-money ops entirely, dropped BCCI sponsorship (~\$44M deal)
- MPL, Games24x7 (RummyCircle), Zupee, PokerBaazi — suspended money-based operations immediately after passage
- WinZO — cofounders arrested by the Enforcement Directorate; ~₹505 Cr in assets frozen for running RMG offshore

Casual & mobile — absorbing demand

- Ludo King (Gametion), browser & hyper-casual titles — surged as low-storage, ad-funded alternatives
- BGMI (Krafton), Free Fire MAX (Garena) — shooters lead in-app purchase revenue (50% of IAP spend)
- Krafton India — \$50M/year run-rate, \$140M earmarked for local studios over 12-18 months

Esports — the thesis' bet

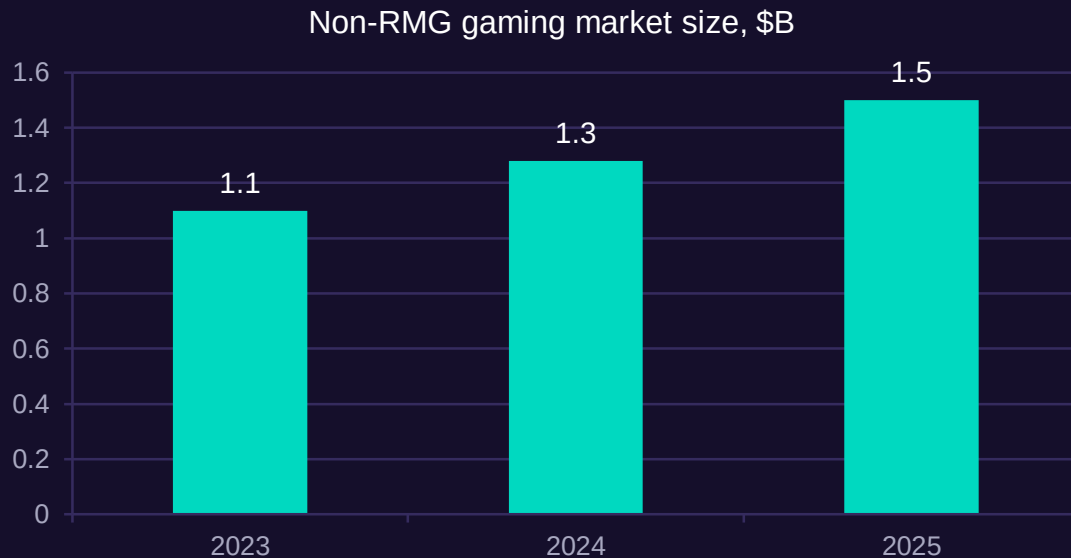
- NODWIN Gaming (Nazara-owned) — India's largest esports tournament organiser (ESL India, DreamHack India)
- S8UL, GodLike Esports, Revenant Esports — professionalising teams with payroll, coaching, sponsorship
- Loco — livestreaming layer capturing esports viewership and creator monetisation

Subscription & cloud — early movers

- Xbox Cloud Gaming — launched in India Nov 2025, India's 29th global market, Pune & Chennai data centres
- JioGamesCloud, OnePlay — India-hosted, low-latency, rupee-priced entrants targeting mobile-first users
- NVIDIA GeForce NOW — Mumbai servers for players who already own PC titles

Source: Lexology *PROG Rules Analysis (2025)*; Inc42 *'Gaming in 2026: Post-RMG Era'*; Forbes India (Jan 2026); TechCrunch (Aug 2025).

The ban didn't shrink the market — it redistributed it



+17% YoY in 2025, even as total gamer base fell from 609M to 555M

~77-80%

share of pre-ban online gaming revenue that came from real-money games

\$25-30

ARPPU (avg. revenue per paying user) in 2024, up from \$2-5 in 2020

\$239M → \$1.1B

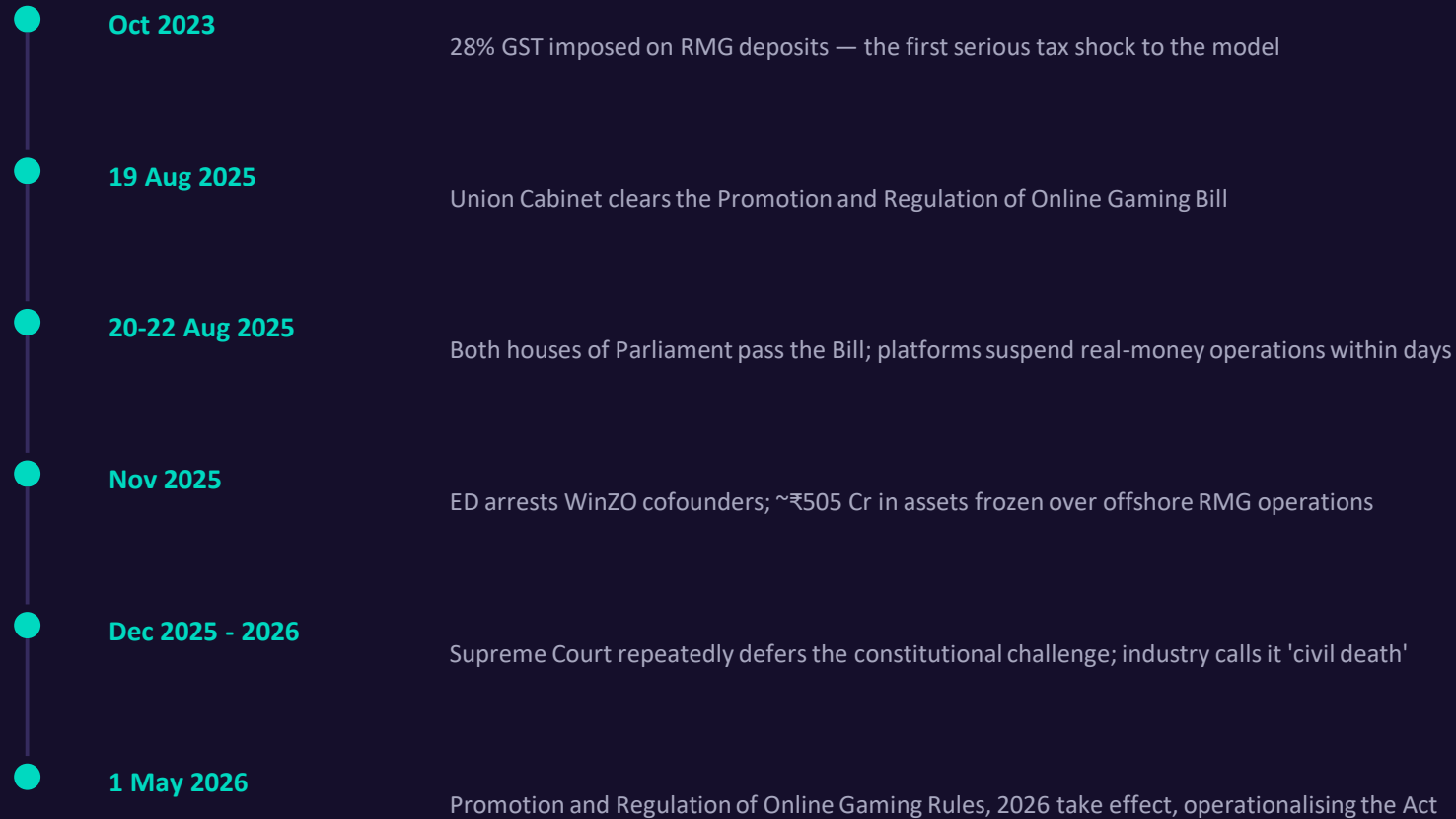
India esports market, 2025 actual to 2034 projection (18-23% CAGR)

\$1.5B

non-RMG Indian gaming market in 2025 — the base the thesis rests on

Source: Onmanorama/Lumikai State of India Interactive Media Report (2026); Redseer 'India's Gaming Story After RMG Prohibition' (2025); IMARC India Esports Market (2026).

One law, one weekend, one industry redrawn



What the law actually says

- Bans all online money games — skill or chance — nationwide, replacing patchwork state laws
- Formally recognises e-sports as a competitive sport, distinct from money games
- Bars banks and financial institutions from processing payments to money-gaming platforms
- Creates a national regulator under MeitY (later, esports moved under Youth Affairs & Sports)

Source: Lexology 'PROG Rules 2025: A Comprehensive Analysis'; ESPNcricinfo (Aug 2025); IGamingBusiness (Dec 2025); TalkEsport(May 2026).

Capital pulled back from RMG — but not from the sector

Headwinds — the RMG shock

\$840M+

in asset write-downs reported across banned RMG platforms by mid-Nov 2025

~7,000

confirmed job losses at RMG operators in the weeks after the ban (broader ecosystem estimates run higher, but are unverified)

\$4B+

cumulative funding raised historically by India's ~2,364 gaming startups (Tracxn, 2026)

Tailwinds — where capital is still moving

\$50M/yr

Krafton India's ongoing annual commitment to local studios, esports and creators

\$140M

earmarked by Krafton for Indian gaming & entertainment startups over 12-18 months

4 unicorns, 58 acquisitions

signs of consolidation even as fresh RMG-linked capital freezes (Inc42 Datalabs, 2026)

Source: IGamingBusiness (Dec 2025); Inc42 'Gaming in 2026: What's In Store In the Post-RMG Era' (Dec 2025); Tracxn Gaming Startups in India (May 2026).

The government won the argument in Parliament — not fully on the ground

The case for the ban

- Government estimates put annual user losses on money games at ~₹20,000 crore
- Centre linked over 30 suicides in Karnataka and Telangana since 2023 to gaming-related financial distress
- Framed under Article 19(1)(g): betting/wagering isn't a protected trade, and states can outlaw it for public welfare

The unintended consequence

- Users spending 2+ hours on offshore platforms jumped from 3.4% pre-ban to 44% post-ban
- 93.7% of surveyed users rate offshore platforms' deposit/withdrawal flow as 'easy' or 'very easy'
- Industry groups argue the ban risks pushing addictive behaviour underground and unregulated, not ending it
- Operators call it 'a product of state paternalism' in ongoing Supreme Court challenges

Source: Outlook Respawn (Dec 2025); Economic Times survey cited in iGamingBusiness (Dec 2025); Supreme Court Observer (Jul 2026).

Jobs didn't disappear — they moved to a different org chart

Contracting: legacy RMG

~7,000

confirmed jobs lost at RMG platforms in the weeks after the ban

Severance and labour-law compliance remain uncertain — many closures happened with no phased wind-down, leaving gig-style contract workers most exposed.

Global context: 3,700+ verified gaming-industry layoffs recorded worldwide in 2026 (Bungie, Epic among them) — this is not an India-only correction.

Expanding: esports & subscription

₹2,000 Cr+

projected size of India's esports market by 2026 — a formal, payroll-backed industry

₹3-5 LPA

entry-level salary at tournament organisers like NODWIN and Skyesports

₹12-18 LPA

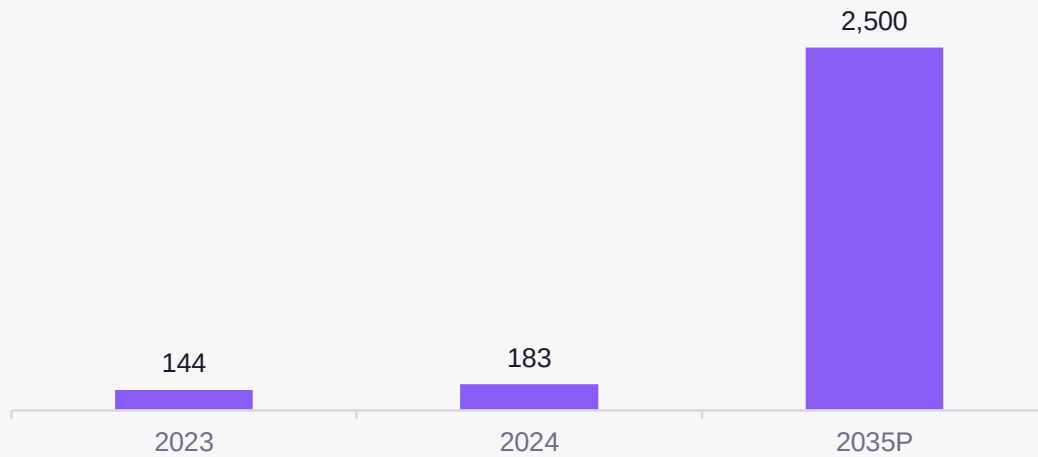
mid-level roles at listed players like Nazara across product, data and growth

Beyond the player

For every pro gamer, esports orgs also hire coaches, analysts, broadcast crews and social/content teams

AI is already the fastest-growing line item in Indian game production

India generative AI-in-gaming market, \$M (log growth)



26.85% CAGR forecast (2025-2035) — India's gaming-AI market was ₹450 Cr in 2025 alone, +78% YoY

Where AI is actually deployed today

- NPC dialogue & behaviour — startups like Yesgname, Metasports moving past scripted dialogue trees
- Anti-cheat systems — generative AI flagging anomalous play patterns in real time
- Vernacular & regional content — AI-assisted localisation drove downloads of regional-language titles to more than double in 2025
- Player analytics & personalisation — adaptive difficulty and retention modelling across mobile titles

The trap to name: globally, 52% of developers now say generative AI is actively harming the industry (up from 30% a year prior, GDC 2026) — adoption and goodwill are not the same curve.

Source: Market Research Future India GenAI in Gaming (2026); AI Tech News (Mar 2026); Outlook Respawn GDC 2026 Report (May 2026).

India regulated after the crisis; China regulates ahead of it

INDIA	UNITED STATES	CHINA
MARKET SIZE (2026) ~\$5.4B total gaming (Mordor); \$1.5B non-RMG base ESPORTS MARKET ~\$240M (2026), 18-23% CAGR to 2033-34 REGULATORY STYLE Reactive — ban first (Aug 2025), rules operationalised 9 months later GROWTH DRIVER Casual/mobile absorbing users vacated by RMG; esports & subscriptions scaling from a small base	MARKET SIZE (2026) \$55.98B (2025), ~24.8% of global online gaming revenue ESPORTS MARKET Projected the single largest national esports market by revenue in 2026 REGULATORY STYLE Fragmented state-by-state; loot-box and antitrust scrutiny (FTC) rather than blanket bans GROWTH DRIVER Subscription (Game Pass-style) and live-service monetisation maturity	MARKET SIZE (2026) \$58.7B, projected to \$102.6B by 2035 (6.4% CAGR) ESPORTS MARKET ~\$4.1B in 2025 (29.3B yuan) — ~17x India's esports market REGULATORY STYLE Proactive & state-directed — real-name registration, playtime curfews for minors, licensing since the 2000s GROWTH DRIVER 'Professional gamer' has been an official state occupation since 2019; institutional depth built over two decades

Source: Fortune Business Insights Online Gaming Market (2026); MarkWide Research China Gaming Industry (2026); DigitalinAsiaChina Gaming Market (2026); Statista Esports by Country (2026).

The reset is real, and it favours builders over bookmakers

The RMG ban did what it set out to do: it made India's largest, easiest gaming profit pool illegal in a single week. But the non-RMG market did not collapse with it — it grew 17% in 2025, proof that Indian demand for play was never only about wagering.

Over the next three years, expect esports to formalise fastest — a dedicated regulator, Khelo India integration, and corporate payrolls at NODWIN, S8UL and peers — while subscription and cloud platforms (Xbox Cloud, JioGamesCloud, GeForce NOW) quietly build the infrastructure India's 5G rollout will make mainstream.

The swing factor is still the Supreme Court. If the RMG ban is diluted for skill-based games like rummy and poker, some capital and talent will flow back. If it is upheld, the winners already visible today — casual studios, esports organisers, AI-native content tools, subscription platforms — inherit India's gaming industry by default, not by outcompeting a segment that no longer exists.

SOURCES

Every claim traces to a source

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